3(a)	**AO2 1 mark** The only correct answer is: **D** 5% A is not correct because this answer is calculated by 1 - 5% B is not correct because this answer is calculated by 1 + 5% C is not correct because this answer is calculated by (50/$1050) x 100	**(1)**

Question Number	Which **one** of the following terms means someone not having enough resources to meet all of their basic needs? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** Absolute poverty A is not correct because this describes the range of incomes in an economy B is not correct because this describes someone having a lower standard of living in comparison to the average person in society D is not correct because this refers to the gap between the rich and the poor	**(1)**

Question Number	Explain one possible reason why the US Government introduced this subsidy. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to protect domestic firms **(1).** Subsidies allow firms to lower prices **(1)** encouraging consumers to switch to US-manufactured cars with US-made batteries **(1).** • One reason is to increase exports **(1)**. Subsiding cars by $500 can make exports of cars with US-made batteries more competitive **(1)**. This can result in greater export earnings and improve the current account **(1).** Accept any other appropriate response	**(3)**

13

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 1 of 17 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP. Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The RCEP accounts for nearly 30% of global GDP and has 15 member countries • Firms located within the RCEP would be able to easily access a much wider market for their goods and services in the other member countries thereby increasing sales • Expansion into new countries without any trade barriers could help to reduce risk if demand falls within their own country • Tariffs will be removed for trade between all 15 member countries • Therefore any firms operating within the free trade area will be able to export to the other countries without these additional costs • Trade within the RCEP countries could allow firms to obtain essential inputs at a much lower cost than can be found domestically	**(6)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 1 of 17 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

15

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 1 of 17 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the impact of rising unemployment rates in the North East of England. Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Unemployment occurs when people of working age who are both willing and able to work cannot find a job • Rising levels of unemployment such as 5.3% will result in lower economic growth as a large part of the workforce will be unproductive in the North East of England • There will be a much greater burden on the UK Government to provide benefits to the unemployed in the region • At the same time tax revenues in the North East will be lower meaning less is available to spend elsewhere • The UK Government may have to provide more education and training schemes to help people enter employment • There may be an increase in relative poverty within the region as unemployed workers have no income apart from benefits from the UK Government **AO4** • However, high rates of unemployment may help some firms compete • Some firms within the North East may find it easier to recruit from a larger pool of workers due to the 5.3% unemployment rate • Some firms may see a reduction in labour costs if there are high levels of unemployment due to fewer wage demands • The number of people claiming benefits did in fact fall indicating that perhaps the rise in the unemployment rate was due to voluntary unemployment • Therefore the impact might not as be as severe if this was the case • The overall impact will depend upon the type of unemployment, the duration and the state of the economy in the North East of England	**(9)**

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Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 1 of 17 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

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Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 1 of 17 · Question 3 part d · 6 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the rate of unemployment in the Netherlands in December 2021. You are advised to show your working. Answer	Mark

4(a)	**AO2 2 marks** Award 1 mark for calculating the tariff Award 1 mark for calculating the final selling price in ¥ for 2018 225 x 0.08 = 18 **(1)** 225 + 18 = ¥ 243 **(1)** Award 2 marks if the final selling price is accurately calculated, with ¥ symbol with no workings shown Do not award marks for the formula	**(2)**

Question Number	Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account surplus means an economy is exporting a greater value of goods and services than it is importing • China's current account has been in surplus with a high of over $900bn in January 2016 • China's current account surplus benefits the country in terms of employment as higher export sales help to create jobs • This encourages economic growth and a higher GDP • This is likely to result in a higher standard of living for China • China's current account surplus will mean that it will have surplus foreign exchange it can use to invest in other countries	**(6)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 2 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 2 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • There will be a reduction in prices of imports for Chinese consumers now that the average tariff has been reduced from 17.3% to 7.7% • There would be an increase in competition for domestic firms which may encourage them to become more efficient • Chinese consumers will not only have a greater choice but may have access to better quality goods which cannot currently be met domestically • Chinese consumers would see an increase in living standards overall • If China reduces its tariffs other countries may do the same which would make it easier for China to export more goods **AO4** • However, tariffs can be a good way to protect Chinese infant industries which may now face increased competition from cheaper imports from MNCs such as Nestle or Proctor & Gamble • This may result in an increase in unemployment in Chinese firms who make consumer products • Tariffs are also a good way to gain revenue for the Chinese government and this will be reduced as tariff rates have fallen from an average of 17.3% to 7.7% • Reducing tariffs may also reduce the surplus on the current account balance as more consumers buy imported products • However, the overall impact on the Chinese economy may be limited as it also depends on whether Chinese consumers do switch to imported goods rather than buy Chinese products • It may not have a great impact as only 200 products are involved	**(12)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 2 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 2 of 17 · Question 4 part c · 12 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

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2(a)	**AO2 1 mark** **C**	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **B** Increased choice for consumers	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct objective. • Economic growth • Low and stable inflation • Low unemployment • Surpluses or equilibrium on current account • Redistribution of income • Protection of the environment Accept any other appropriate responses.	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to fixed exchange rate system and 1 mark for reference to increased When the price of a currency in a fixed exchange rate system **(1)** is officially increased against other currencies **(1)** **Or** When a government fixes **(1)** new higher exchange rate **(1)** Accept any other appropriate response	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 3 of 17 · Question 2 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that the government can spend more within the economy **(1)**, this overspend can be used to invest in the public services such as infrastructure **(1)**, and this can create jobs within the Indian economy stimulating economic growth **(1).** Accept any other appropriate response.	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a pattern of trade Award 1 mark for developing the pattern of trade Award 1 mark for the response being in context • Developed countries such as Germany export valuable manufactured goods **(1)** such as cars and electrical goods **(1)** and import cheaper primary products such as tea and sugar **(1).** • Developed countries such as Germany have moved away from the primary sector **(1)** and have more developed secondary and tertiary sectors **(1).** They export finished goods to developing countries such as Bangladesh **(1).** Accept any other appropriate response.	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 3 of 17 · Question 2 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Jobs may be created in Bangladesh with the investment from Japanese firms such as Honda and Nippon Koei • Nippon Koei have recruited 2,500 employees to work in its steel factories • Local businesses in Bangladesh may benefit from supplying MNCs with equipment and raw materials for car manufacturing • Honda may train local workers to be employed in the car factories which could result in a reduction in unemployment and an increase in the standard of living in Bangladesh • Economic growth may occur in Bangladesh as the government receives an increase in tax revenue from both the MNCs and the newly employed workers **AO4** • However, many of the Japanese MNCs are coming to Bangladesh for low wages which could result in poor working conditions for local employees • There is no guarantee that jobs will be created for managerial positions as many MNCs do not train local workers to a high level • MNCs may drive out local businesses as they take over businesses and gain market share • Some MNCs damage the local environment and the cost of cleaning up pollution is often left to the host government.

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 3 of 17 · Question 2 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 3 of 17 · Question 2 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	**Answer**	Mark

2(a)	**AO2 1 mark** **C**	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **B** Increased choice for consumers	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct objective. • Economic growth • Low and stable inflation • Low unemployment • Surpluses or equilibrium on current account • Redistribution of income • Protection of the environment Accept any other appropriate responses.	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to fixed exchange rate system and 1 mark for reference to increased When the price of a currency in a fixed exchange rate system **(1)** is officially increased against other currencies **(1)** **Or** When a government fixes **(1)** new higher exchange rate **(1)** Accept any other appropriate response	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 4 of 17 · Question 2 part f · 3 marks

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that the government can spend more within the economy **(1)**, this overspend can be used to invest in the public services such as infrastructure **(1)**, and this can create jobs within the Indian economy stimulating economic growth **(1).** Accept any other appropriate response.	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a pattern of trade Award 1 mark for developing the pattern of trade Award 1 mark for the response being in context • Developed countries such as Germany export valuable manufactured goods **(1)** such as cars and electrical goods **(1)** and import cheaper primary products such as tea and sugar **(1).** • Developed countries such as Germany have moved away from the primary sector **(1)** and have more developed secondary and tertiary sectors **(1).** They export finished goods to developing countries such as Bangladesh **(1).** Accept any other appropriate response.	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 4 of 17 · Question 2 part f · 3 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Jobs may be created in Bangladesh with the investment from Japanese firms such as Honda and Nippon Koei • Nippon Koei have recruited 2,500 employees to work in its steel factories • Local businesses in Bangladesh may benefit from supplying MNCs with equipment and raw materials for car manufacturing • Honda may train local workers to be employed in the car factories which could result in a reduction in unemployment and an increase in the standard of living in Bangladesh • Economic growth may occur in Bangladesh as the government receives an increase in tax revenue from both the MNCs and the newly employed workers **AO4** • However, many of the Japanese MNCs are coming to Bangladesh for low wages which could result in poor working conditions for local employees • There is no guarantee that jobs will be created for managerial positions as many MNCs do not train local workers to a high level • MNCs may drive out local businesses as they take over businesses and gain market share • Some MNCs damage the local environment and the cost of cleaning up pollution is often left to the host government.

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 4 of 17 · Question 2 part f · 3 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 4 of 17 · Question 2 part f · 3 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question Number	**Answer**	Mark

Question Number	Answer	Mark
1(a)	**AO1 1 marks** **C** free trade	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **B** Invisible trade	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to being willing and able and 1 mark for reference to unable to find employment People are willing and able to work/actively seeking work **(1)** but cannot find employment **(1)**. Accept any other appropriate responses.	**(2)**

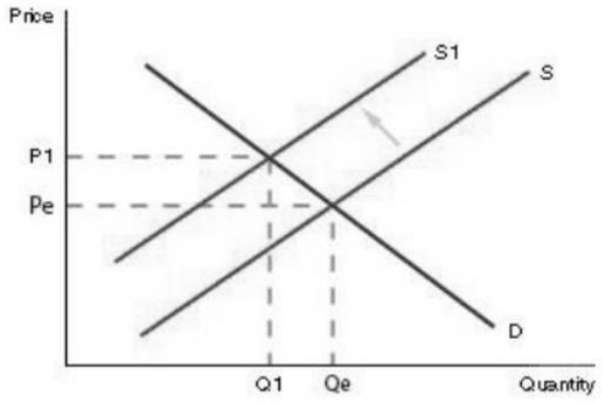
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to decision and 1 mark for reference to not being both achievable The choice between two objectives **(1)**, where for one objective to increase the other must decrease **(1)**. Accept any other appropriate responses.	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 5 of 17 · Question 1 part a · 1 mark

2020 JAN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. $\frac{8 \text{ million}}{72 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer. = 11.11% **(1)** Award 2 marks if the rate of unemployment is correctly calculated as 11.11%, with percentage sign, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no percentage sign, even with or without calculations. Do not award marks for the formula.	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 5 of 17 · Question 1 part a · 1 mark

2020 JAN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • If the quality of domestically produced goods is poor compared to imported foreign goods **(1)** then fewer consumers will buy these goods **(1).** Imports are likely to increase which contributes to the current account deficit of $5.082bn **(1)**. • If domestically produced goods are of poor quality **(1)** then there is less chance of exporting these goods to other countries **(1)**. Exports are likely to fall which contributes to the current account deficit of $5.082bn **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 5 of 17 · Question 1 part a · 1 mark

2020 JAN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Subsidies are financial support from a government to lower the production costs of domestic firms • In this case, the Indian Government is providing a production subsidy of $725m to the farmers of sugar cane • Subsidies will lower the price of Indian produced sugar cane and increase sales • Financial support in the form of subsidies can help to protect local jobs • Subsidies can also help to encourage agricultural output of sugar cane by encouraging an increase in supply • Subsidies can help to improve competiveness against firms in other countries such as Australia that may not receive government assistance	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 5 of 17 · Question 1 part a · 1 mark

2020 JAN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

1(a)	**AO1 1 marks** C Voluntary	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** D Recovery	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to monetary authority and 1 mark for reference to its functions The monetary authority that manages a country's money supply **(1)** and interest rates/banking system **(1)** Accept any other appropriate response	**(2)**

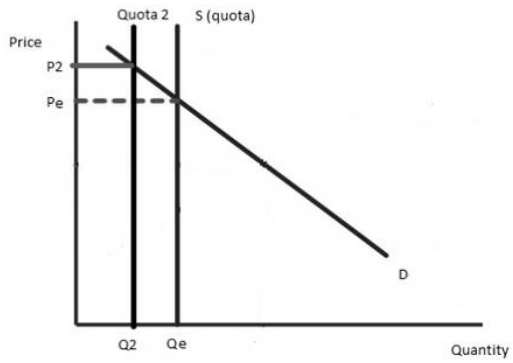
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference harming domestic businesses and 1 mark for reference to competition from foreign businesses Domestic businesses can go out of business **(1)** if products from foreign businesses are better/cheaper **(1)** Accept any other appropriate response	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 6 of 17 · Question 1 part d · 2 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 21 000 – (1 500 x 20%) **(1)** Award 1 mark for the correct answer = €20 700 **(1)** Award 2 marks if the correct answer €20 700 is shown, with € sign, even if no calculations are shown Award 1 mark if correct answer 20 700 is shown, but with no € sign, even if no calculations are shown Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of perfectly inelastic supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 6 of 17 · Question 1 part d · 2 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • The impact is that wages do not buy the same amount of goods **(1)** this is because prices are rising at a faster rate than wages **(1).** To prevent this wages need to rise such as the recent increase in Mexico **(1)** • The impact might be limited **(1)** if wages for some workers in Mexico are linked to inflation **(1).** This means that the standard of living remains the same if wages are keeping up with inflation **(1)** Accept any other appropriate response	**(3)**

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries in the AfCFTA because they have access to a wider market which will consist of 1.2bn people • GDP for the trade bloc is expected to be $2.5 trillion. • Firms in the trade bloc may be able to exploit economies of scale or specialisation can occur • Prices may be cheaper due to a reduction of tariffs and quotas • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the AfCFTA trade bloc may attract increased FDI	**(6)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 6 of 17 · Question 1 part d · 2 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 6 of 17 · Question 1 part d · 2 marks

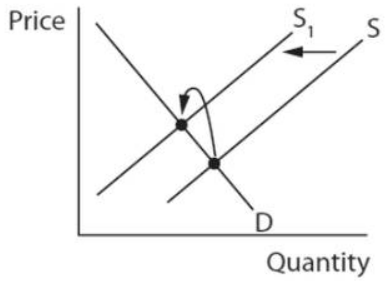
2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 7 of 17 · Question 2 part c · 1 mark

2020 NOV · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** **C** 	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **A** Deregulation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Foreign competition • Increasing unemployment Accept any other appropriate responses	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to price of a currency and 1 mark for reference to another currency The price of one currency **(1)** in terms of another currency **(1)** Accept any other appropriate response	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 7 of 17 · Question 2 part c · 1 mark

2020 NOV · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	**Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that there may be increased demand for German exports **(1)** if consumers overseas are responsive to the cheaper export prices **(1)**. This has a positive impact on the current account of Germany if there is an overall increase in net exports **(1)** • One reason is that this may reduce the quantity of imports into Germany **(1)** as it is now relatively more expensive to import goods due to the fall in the euro **(1)**. This could result in a decrease in net imports **(1)** Accept any other appropriate response	**(3)**

Question Number	**Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible way Award 1 mark for developing the possible way Award 1 mark for the response being in context • One way is that privatisation introduces competition into the airport market **(1)**. It creates incentives to lower unit costs **(1)** to increase productivity and profit **(1)** • One way is that privatisation may improve the quality of the factors of production of airports **(1)**. This means that an airport can produce more services **(1)** without increasing inputs **(1)** Accept any other appropriate response	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 7 of 17 · Question 2 part c · 1 mark

2020 NOV · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Benefit payments are payments given to people to ensure they have a minimum standard of living • These include benefits such as unemployment benefit, state pension and in this case, child benefit • The advantages are that benefit payments help to reduce inequality and reduce relative poverty as the money is given directly to people on no or low-incomes • Benefit payments will give those on low income a better living standard and help contribute to a more cohesive society • Canada estimates that 300,000 children have been lifted out of poverty due to the child benefit payments • This could be due to more working mothers being able to return to work and therefore being able to contribute to society **AO4** • However, increasing welfare benefits creates a disincentive to work • Many families may face the poverty trap and are often better off on benefits than working • The cost of the benefits has to be borne by society so there is often an opportunity cost to a country from using benefit payment to redistribute income • Not all people are entitled to receive the child benefit which could result in resentment • There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education • The Canadian Government should use a combination of methods to reduce inequality and poverty	**(9)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 7 of 17 · Question 2 part c · 1 mark

2020 NOV · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 7 of 17 · Question 2 part c · 1 mark

2020 NOV · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 8 of 17 · Question 2 part d · 2 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **D** A decrease in exports and an increase in imports A is not correct because an appreciation would result in a decrease in exports and an increase in imports B is not correct because an appreciation would result in a decrease in exports and an increase in imports C is not correct because an appreciation would result in a decrease in exports and an increase in imports	**(1)**

Question Number	Which **one** of the following is likely to result in poverty? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** Low GDP per capita A is not correct because this can result in people gaining jobs and therefore income C is not correct because economic agents would retain more of their income D is not correct because more people are in paid employment	**(1)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 8 of 17 · Question 2 part d · 2 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	State **one** effect on the balance of payments of improved quality of foreign goods. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Higher imports • Worsened balance of payments • Lower exports • Increased deficit • Worsened surplus Accept any other appropriate response	**(1)**

Question Number	What is meant by the term free trade? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the import/export of goods and 1 mark for reference to not being taxed Goods/services coming into or going out of a country **(1)** which are not controlled/taxed **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being context • One impact is that consumer confidence is likely to fall **(1)**. High rates of unemployment of 10.1% may make consumers more cautious **(1)**. This can cause lower levels of consumer spending **(1)** Accept any other appropriate response	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 8 of 17 · Question 2 part d · 2 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** reason why the reduced cost of communication has helped to increase globalisation. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is the internet makes it cheaper to communicate with other overseas markets **(1)**. Many small firms are able to use e-commerce marketplaces such as Alibaba **(1)**. This allows firms of all sizes to sell to a wider geographical area/trade globally **(1)** • One reason is that you do not need face to face meetings **(1)**. The internet allows for communication via videoconferencing/online meetings **(1)**. These improvements in communication links mean it is easier for international businesses to interact **(1)** Accept any other appropriate response	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 8 of 17 · Question 2 part d · 2 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the use of taxation to protect the environment in a country such as Germany. Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Increasing taxation from 7% to 19% would substantially increase the price of meat for consumers which may result in less demand for meat products • This would reduce the amount of greenhouse gas emissions caused by animals • Increased taxation could also raise additional revenue for the German Government • This could be used to finance other pollution reduction schemes or improve animal welfare • Taxation provides a market incentive for firms and consumers to switch to meat alternatives which may not cause as much environmental damage **AO4** • However, increasing taxes on meat may reduce incomes for farmers if demand falls for meat products • Increasing taxes on meat products may reduce the choice for consumers of what food they can afford, particularly low-income families • Demand for meat may be quite inelastic and an increase in tax may do little to reduce demand and therefore only marginally reduce the amount of pollution • There are other methods that might be more effective in protecting the environment, such as subsidies, fines or pollution permits • The German Government should use a combination of methods to protect the environment

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 8 of 17 · Question 2 part d · 2 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 8 of 17 · Question 2 part d · 2 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	What is the total amount of revenue raised by indirect taxes? Answer	Mark

Number		
1(a)	**AO2 1 mark** The only correct answer is: **D** An airline cuts jobs during a global recession A is not correct because it is structural unemployment B is not correct because it is seasonal unemployment C is not correct because it is frictional unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** devaluation A is not correct because this is caused by market forces C is not correct because this is an increase in the exchange rate D is not correct because this is an increase in the exchange rate caused by market forces	**(1)**

Question Number	What is meant by the term exports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 9 of 17 · Question 1 part h · 6 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part h in this mark scheme extract

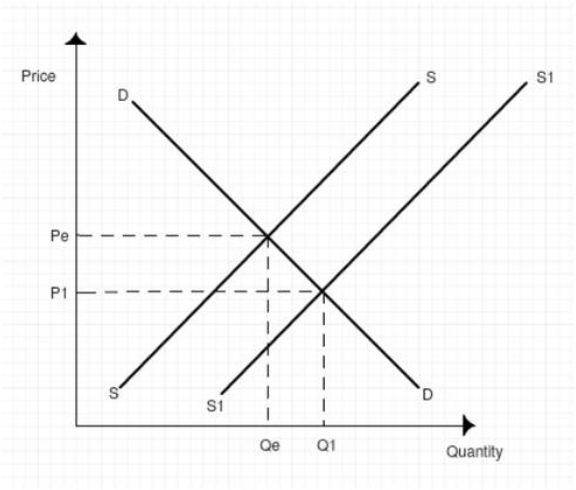
Question Number	Describe one impact that education may have on inequality and poverty. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference reducing inequality and poverty and 1 mark for reference to skills Education helps to reduce inequality and poverty **(1)** by providing skills needed to get a job **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate how much inflation there has been between 2015 and 2019. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 110.2 - 100 **(1)** Award 1 mark for the correct answer = 10.2% **(1)** Award 2 marks if the correct answer 10.2% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 10.2, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 9 of 17 · Question 1 part h · 6 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part h in this mark scheme extract

Question Number	Draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain the likely impact of a decrease in the UK interest rates on the UK pound. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that the currency will depreciate **(1).** It will become less attractive to deposit money in the UK **(1).** Therefore, demand for the UK pound (£) will fall **(1)** Accept any other appropriate response.	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 9 of 17 · Question 1 part h · 6 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part h in this mark scheme extract

Question Number	Analyse the disadvantages of free trade for domestic businesses located within this free trade area. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • Free trade means that domestic businesses are no longer protected • Domestic businesses will face greater competition from firms within the free trade area • Businesses may see increased competition from cheaper, low-cost firms within the free trade area who may have lower wage costs compared to domestic businesses • This could result in falling sales for businesses in the EU that will tend to have higher labour costs compared to Vietnam	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 9 of 17 · Question 1 part h · 6 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part h in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 10 of 17 · Question 2 part g · 9 marks

2022 JUN · Paper 02 · extract 1 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
2(a)	**AO1 1 mark** The only correct answer is: **D** integration and interdependence of national economies A is not correct because globalisation encourages trade and specialisation B is not correct because trade barriers should be reduced C is not correct because increased globalisation reduces the need for national legislation	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** An increase in environmental damage A is not correct because unemployment should fall due to more jobs being available in the economy C is not correct because investment is likely to increase due to economic growth and firms expanding D is not correct because tax revenues are likely to rise as more people have jobs/ firms are making more profit	**(1)**

Question Number	State one type of unemployment. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** type. • cyclical • structural • seasonal • voluntary • frictional Accept any other appropriate responses.	**(1)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 10 of 17 · Question 2 part g · 9 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part g in this mark scheme extract

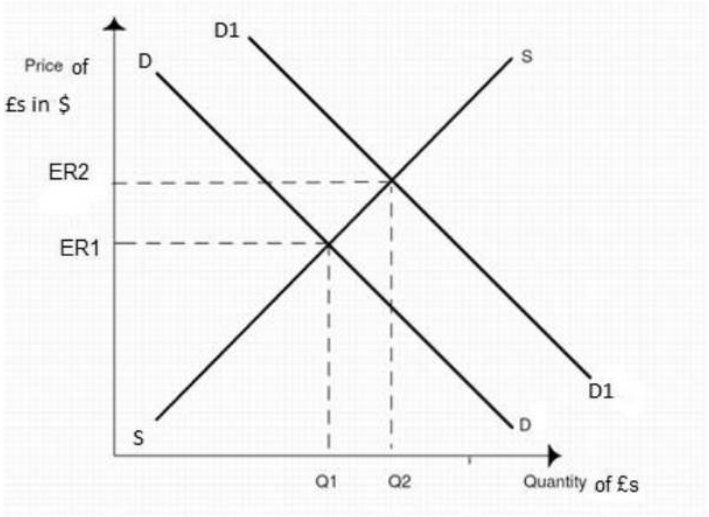
Question Number	What is meant by the term recovery? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the economic cycle/recession and 1 mark for reference to increase in economic activity A phase in the economic cycle **(1)** where GDP starts to rise again/when consumers start to regain confidence/economic activity is on the increase **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain one impact of rising inflation on shoe leather costs for Nigeria. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that shoe leather costs may increase **(1).** Consumers will try to find cheaper bread and meat **(1).** This means that they will spend more time shopping around and looking for goods **(1)** Accept any other appropriate response.	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 10 of 17 · Question 2 part g · 9 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Draw the effects on the exchange rate of the UK pound (£) from an increase in exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for right shift of demand curve, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 10 of 17 · Question 2 part g · 9 marks

2022 JUN · Paper 02 · extract 4 of 5 · find part g in this mark scheme extract

Question Number	Assess the advantages of free trade to firms located within the EU. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The new free trade area consists of over 770 million people and trades over €88bn in goods and €34bn in services every year • Firms located within the EU would be able to access a much wider market for its goods and services thereby increasing sales • Mercosur is removing tariffs on 91% of EU goods on items such as clothing, wine, chemicals and canned peaches • This means that any EU firm operating in these areas will be able to export to the Mercosur area without additional tariffs and could increase revenues • Expansion into a new trading bloc could help to reduce risk for EU firms if demand falls within the EU **AO4** • However, free trade also means that EU firms will face greater competition from firms within the Mercosur area • EU firms may have increased competition from cheaper, low-cost firms within the Mercosur area that may have lower wage costs compared to EU firms • The EU has agreed to end 92% of tariffs on goods from the Mercosur area • This may have a negative impact on EU farmers particularly those involved in the production of beef, sugar and chicken • The overall impact will depend on the quality and price of the products made within the EU compared to the products made in the Mercosur area	**(9)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 10 of 17 · Question 2 part g · 9 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Question Number	**Answer**	Mark

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 11 of 17 · Question 2 part c · 1 mark

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Structural A is not correct because this occurs due to seasonal factors B is not correct because this is when people choose not to work D is not correct because this is caused by fluctuations in the economic cycle	**(1)**

Question Number	What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum? **Answer**	Mark
2(b)	**AO2 1 mark** The only correct answer is: **B** £210 A is not correct because this is calculated by £7000 x 0.003 C is not correct because this is calculated by £7000 - £210 D is not correct because this is calculated by £7000 + £210	**(1)**

Question Number	State **one** advantage of free trade. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** advantage • Lower prices • Increased choice for consumers • Wider markets for business Accept any other appropriate response	**(1)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 11 of 17 · Question 2 part c · 1 mark

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

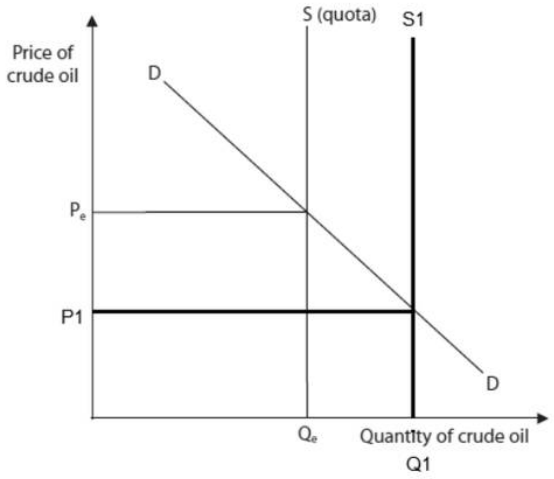
Question Number	What is meant by the term pollution permits? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to legal right and 1 mark for reference to limiting the amount of pollution They give firms the legal right **(1)** to discharge a certain amount of polluting material **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** way an airport can cause damage to the environment. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is noise pollution **(1).** Aircraft constantly landing and taking off **(1)** results in additional noise for the local residents who live close to the airport **(1)** • One way is air pollution **(1).** Fumes from aircraft landing and taking off **(1)** can cause poor air quality in the area around the airport **(1)** Accept any other appropriate response	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 11 of 17 · Question 2 part c · 1 mark

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the effect of the introduction of the new quota. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 11 of 17 · Question 2 part c · 1 mark

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the effectiveness of using fines to protect the environment in a country such as the UK. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Fines are a financial penalty when a firm breaks environmental laws • Thames Water has been fined £2.3m for polluting a stream in the UK • This will therefore have a negative effect on Thames Water's profits and provide an incentive to not pollute the environment in the future • It may also harm the public image of Thames Water and therefore result in lower investment in the firm • Fines act as a polluter pays principal and the money from the fine can be used to clear up environmental damage • Fines should therefore act as a financial incentive for firms to comply with environmental laws **AO4** • However, many firms continue to pollute despite fines being levied against them including Thames Water • Thames Water has already been fined £24.4m for nine other cases of water pollution demonstrating that this has had very little impact on the firm and its actions • In order for the fine to be effective, it must be large enough to ensure firms do not pollute • Thames Water made £513.4m operating profit in 2020 so the fine is quite small in comparison to its profits • This has led to a situation where the benefits from non-compliance far outweighs the potential fines for polluting • It can take many years for firms to be fined – it has taken over 5 years to bring Thames Water to court making fines a very ineffective way of protecting the environment	**(9)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 11 of 17 · Question 2 part c · 1 mark

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 11 of 17 · Question 2 part c · 1 mark

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

1(a)	**AO1 1 marks** The only correct answer is: **B** Settling trade disputes A is not correct because it does not have the power to do this C is not correct because its role is to decrease trade barriers D is not correct because this would increase protectionism	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy to increase output? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** Increasing the school-leaving age A is not correct because it is a fiscal policy B is not correct because it is a monetary policy D is not correct because it would deter investment	**(1)**

Question Number	What is meant by the term economies of scale? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to falling average costs and 1 mark for reference to expansion Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 12 of 17 · Question 1 part d · 2 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

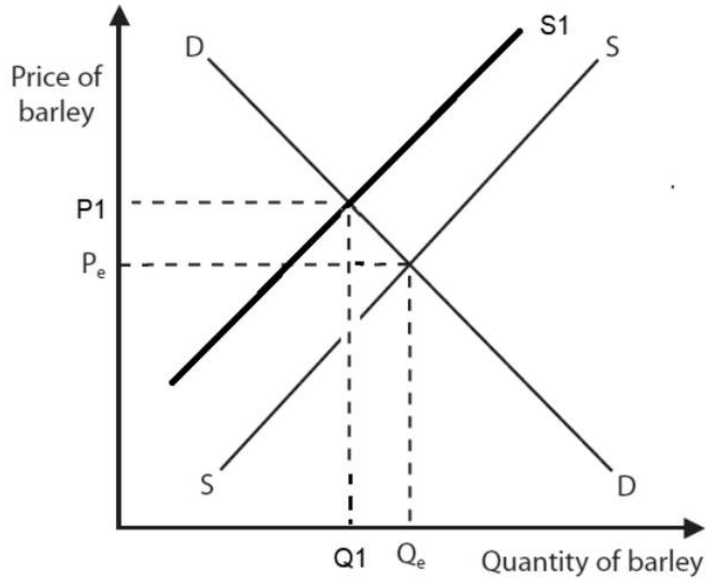
Question Number	Describe **one** advantage of free trade for consumers. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for consumers and 1 mark for development of an advantage for consumers An increase in choice **(1)** due to more foreign goods/services being imported into the country **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **net pay** in £ for Sofia. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation £22 500 x 20% = £4 500 **(1)** Award 1 mark for the correct answer £35 000 - £4 500 = £30 500 **(1)** Award 2 marks if the correct answer £30 500 is shown, with £ sign, even if no calculations are shown Award 1 mark if correct answer 30 500 is shown but with no £ sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 12 of 17 · Question 1 part d · 2 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 12 of 17 · Question 1 part d · 2 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that workers are only required for certain times of the year **(1).** Tourist attractions/holiday resorts will require more workers during the holiday season **(1).** Seasonal workers are no longer needed when the holiday season ends so are therefore seasonally unemployed **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse the benefits of a current account surplus for a country such as Australia. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account surplus means an economy is exporting a greater value of goods and services than it is importing • Australia's current account surplus was $18.1bn in December 2020 • Australia's current account surplus benefits the country in terms of employment as higher export sales help to create jobs • This encourages economic growth and a higher GDP • This is likely to result in a higher standard of living for people living in Australia • Australia's current account surplus will mean that it will have surplus foreign exchange it can use to invest in other countries	**(6)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 12 of 17 · Question 1 part d · 2 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 12 of 17 · Question 1 part d · 2 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as: **Answer**	Mark

3(a)	**AO1 1 mark** The only correct answer is: **C** an increase in inflation A is not correct because tax revenues are likely to rise as more people have jobs/ firms are making more profit B is not correct because economic growth is likely to increase as more people are in employment D is not correct because relative poverty should decrease as more people have income from a job	**(1)**

Question Number	Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Greater environmental damage A is not correct because this is an advantage of FDI C is not correct because this is an advantage of FDI D is not correct because this is an advantage of FDI	**(1)**

Question Number	Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is demand may have increased for imports **(1)** as consumers switch to imports rather than domestically produced goods as their quality has improved **(1).** This results in more money flowing out the country resulting in a negative impact on the current account deficit **(1)** Accept any other appropriate response.	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 13 of 17 · Question 3 part d · 6 marks

2023 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for UK firms. Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The UK has agreed to end 99% of tariffs on goods from Australia • Free trade means that UK firms are no longer protected from imports from Australia that once had tariffs applied to them • Free trade means that UK firms may face greater competition from firms in Australia • UK firms may have increased competition from cheaper, lower cost firms in Australia that may have lower wage costs compared to UK firms • This could result in falling sales for UK firms that might have higher labour costs compared to Australia	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 13 of 17 · Question 3 part d · 6 marks

2023 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits of privatising the college. Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Privatisation is the act of selling a company or activity controlled by the government to private investors • The Scottish Government has recently privatised Shetland College • Shetland College will have more control over its operations now that it is in the private sector • Shetland College cannot rely on public money and must make a profit to survive • Therefore, Shetland College will now have to compete against the other rival colleges for students in order to gain revenue • Competitive pressures should help to improve quality and reduce prices for the students using the college • Shetland College may try to compete by offering a wider range of courses to attract more people to the college • It could seek to lower the prices for its courses without the interference of the government thereby benefitting students of the college **AO4** • However, in practice, state monopolies often become private monopolies • This might be the case with the firm operating in the education market • Competitive pressures are often not forthcoming and Shetland College has simply been moved from state to private ownership without facing any new competition • Critics are concerned that the privatisation might result in fewer courses available for students • As a result consumers/students might be exploited due to poor quality and price increases as the private firm seeks to reduce costs in order to maximise profits • Workers might be negatively affected as large numbers of people are often made redundant to reduce costs • The overall impact will depend on how the college is managed and operated by the management	**(9)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 13 of 17 · Question 3 part d · 6 marks

2023 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 13 of 17 · Question 3 part d · 6 marks

2023 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage change** in the fiscal deficit for Spain between 2019 and 2020. You are advised to show your working Answer	Mark

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 14 of 17 · Question 1 part g · 3 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The tax rate increases as income increases A is not correct because this does not describe a characteristic of progressive taxation B is not correct because this this does not describe a characteristic of progressive taxation/ is regressive D is not correct because progress taxation is not linked to GDP	**(1)**

Question Number	Which **one** of the following describes a fiscal surplus? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **D** Government revenue is greater than government expenditure A is not correct because this describes current account surplus B is not correct because this describes a current account deficit C is not correct because this describes a fiscal deficit	**(1)**

Question Number	What is meant by the term income inequality? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Differences in income **(1)** between different groups of earners **(1)** **OR** The unequal/uneven distribution of income **(1)** throughout an economy/a society **(1)** Accept any other appropriate response	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 14 of 17 · Question 1 part g · 3 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

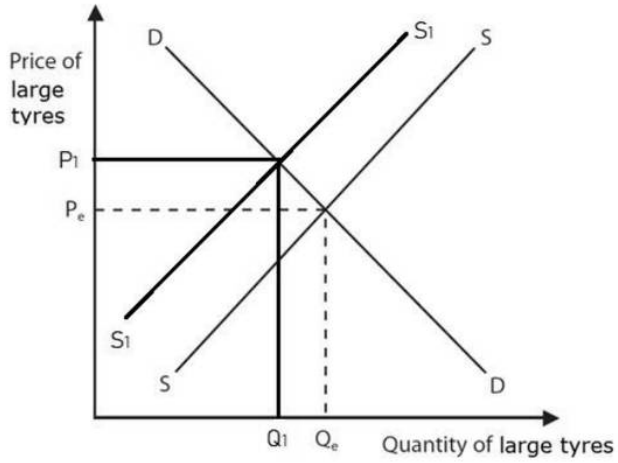
Question Number	Describe **one** role of the World Trade Organization (WTO). **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the role and 1 mark for development of the role It helps to settle trade disputes between countries **(1)** by acting as a mediator to find a solution **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation $\frac{(34 \text{ million} - 32 \text{ million})}{34 \text{ million}} \times 100$ **(1)** **OR** $\frac{2 \text{ million}}{34 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer = 5.88% **(1)** Award 2 marks if the correct answer is 5.88% even if no calculations are shown Award 1 mark if the answer given is 5.88 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 14 of 17 · Question 1 part g · 3 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 14 of 17 · Question 1 part g · 3 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** advantage of free trade for businesses in Ecuador. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that businesses can access a wider market **(1).** Trade barriers will be removed for products such as bananas **(1)** which could help to increase total sales and revenue **(1)** • One advantage is that there could be lower input costs **(1).** Trade barriers will be removed for imports from China **(1)** which could help businesses to sell goods for lower prices in the domestic market **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer confidence is an economic indicator that gauges consumers' perception of the economy • High rates of inflation could reduce confidence in Germany • Inflation reduces purchasing power and a rate of 10.4% will result in many consumers experiencing a reduction in living standards • This is because they cannot afford to purchase the same amount of goods and services • Consumer confidence will fall and may make them more cautious and less willing to borrow money • Savings may increase to safeguard against the future • High rates of inflation can cause uncertainty for many consumers making it difficult to plan ahead if prices are rising so much	**(6)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 14 of 17 · Question 1 part g · 3 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 14 of 17 · Question 1 part g · 3 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	What is the main reason for a government to devalue its currency? **Answer**	Mark

4(a)	**AO2 2 marks** Award 2 marks for calculating the price in £ sterling $\frac{1600}{672}$ **(1)** = £2.38 **(1)** Award 2 marks if the park entry fee is accurately calculated as £2.38 even if no calculations are shown Award 1 mark if £ is missing i.e. 2.38 with or without calculations shown Do not award marks for the formula	**(2)**

Question Number	With reference to the data above and your knowledge of economics, analyse how the trade patterns may differ between a developed and a developing country. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Developed countries, such as the UK, tend to have more diversified economies with a higher share of manufacturing and services sectors in their GDP • This allows developed countries to produce a wide range of goods and services making them less dependent on a few primary products for their exports • Developed countries such as the UK have exhausted many raw materials and moved away from agriculture so need to import these commodities • In contrast, developing countries such as Costa Rica may have a narrower range of products to offer with a higher share of agricultural exports • Costa Rica relies heavily on agricultural exports such as fruit and vegetables accounting for 73.4% of exports to the UK • The patterns of trade are different for developed and developing economies due to the different sizes of the primary, secondary and tertiary sectors	**(6)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 15 of 17 · Question 4 part b · 6 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 15 of 17 · Question 4 part b · 6 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible advantages of the government providing national parks to protect the environment in a country such as Costa Rica. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Parks can provide a range of environmental benefits such as protecting and preserving biodiversity • Parks can contribute to long-term economic sustainability by protecting natural resources and ecosystem services • The conservation of natural resources through parks can also support other economic activities such as fishing and timber harvesting by ensuring the sustainability of these resources over the long term • The creation and maintenance of parks can generate economic benefits such as employment opportunities and revenue from tourism • The establishment of protected areas can help lessen the economic costs associated with environmental degradation • Parks and natural spaces can contribute to improvements in public health by providing opportunities for exercise and recreation which can reduce healthcare costs and absenteeism from work due to illness • Parks and protected areas can contribute to a sense of national identity and pride which can help to attract international visitors and promote trade and investment **AO4** • However, the costs of creating and maintaining parks can be high and may require significant public funding • The creation of parks may require the displacement of local communities or restrictions on traditional land use practices • Ecotourism can lead to overcrowding and environmental degradation if not properly managed • Protected areas can limit opportunities for economic development particularly in sectors such as mining, logging and agriculture • This can be a source of conflict between conservationists and those who see protected areas as a hindrance to economic growth • There are alternative methods which the Costa Rican Government could use such as taxation and pollution permits which might be more effective in protecting the environment	**(12)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 15 of 17 · Question 4 part b · 6 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 15 of 17 · Question 4 part b · 6 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

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2(a)	**AO1 1 marks** The only correct answer is: **C** Monetary A is not correct because this involves government revenue and government expenditure B is not correct because this involves increasing the productive capacity and output of an economy D is not correct because this involves the supply of and demand for currencies	**(1)**

Question Number	Which **one** of the following is an example of deregulation? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** Allowing more foreign firms into the domestic market A is not correct because it involves imposing a new regulation on how much government officials can be paid C is not correct because compulsory employee training adds a new layer of requirements for firms D is not correct because this increases the amount of regulation to protect consumers	**(1)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 16 of 17 · Question 2 part g · 9 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	State **one** possible advantage of foreign direct investment (FDI) for an economy. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Creating jobs • Investing in infrastructure • Developing skills • Developing capital • Contributing to taxes • Greater choice • Rising living standards • Lower prices Accept any other appropriate response	**(1)**

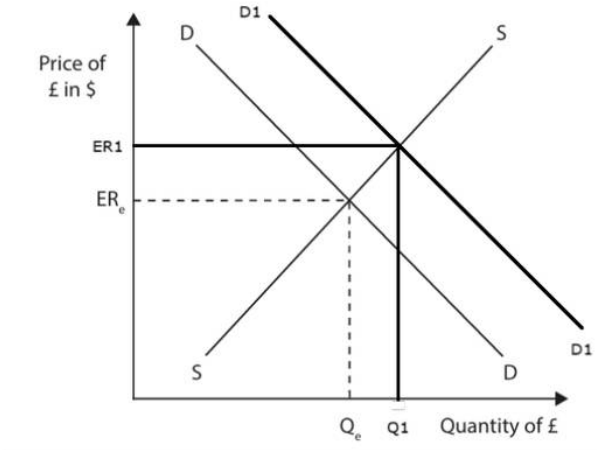
Question Number	What is meant by the term indirect tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied **(1)** on spending **(1)** **OR** A tax added to the price of goods and services **(1)** which consumers pay when they buy something **(1)** Accept any other appropriate response	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 16 of 17 · Question 2 part g · 9 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** way government provision of healthcare can help to reduce poverty. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is that healthcare helps people to stay healthy **(1)** so they can work more and earn an income **(1).** With more income, they can improve their living conditions and escape poverty **(1)** Accept any other appropriate response	**(3)**

Question Number	Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a rightward shift of demand curve, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 16 of 17 · Question 2 part g · 9 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the South Korean car industry from the removal of tariffs by the Philippines. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The removal of a 5% import tariff on Korean cars makes them cheaper and more competitive against other foreign brands in the Philippines, potentially increasing market share • With tariffs gone, it is likely that more Korean cars will be exported to the Philippines, benefiting manufacturers through increased sales and revenue • Accessing the large and growing Philippine market, which has the 12th largest population and is a significant car importer, offers a substantial expansion opportunity for Korean car makers • Increased car exports to the Philippines can contribute to economic growth and job creation in South Korea's car industry **AO4** • However, with Japanese cars dominating 82.5% of the Philippine market, Korean cars might still struggle to significantly penetrate or compete, even without tariffs • The removal of tariffs may lead to increased competition from domestic car manufacturers in the Philippines, making it harder for Korean cars to gain market share • Filipino consumers might prefer other brands or have a strong brand loyalty to existing cars, making it difficult for Korean cars to penetrate the market • Philippine car manufacturers might retaliate against the influx of cheaper Korean cars • Exchange rate fluctuations could affect the profitability and pricing of Korean cars in the Philippines	**(9)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 16 of 17 · Question 2 part g · 9 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 16 of 17 · Question 2 part g · 9 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is an advantage of pollution permits? **Answer**	Mark

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 17 of 17 · Question 1 part g · 3 marks

2025 NOV · Paper 02 · extract 1 of 8 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** A decrease in the general price level of goods and services over time A is not correct because this describes inflation B is not correct because rapid economic growth is associated with economic expansion, not deflation D is not correct because this describes a recession	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Investing in education and training B is not correct because this is an example of monetary policy C is not correct because this is an example of fiscal policy D is not correct because this is an example of a monetary policy	**(1)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 17 of 17 · Question 1 part g · 3 marks

2025 NOV · Paper 02 · extract 2 of 8 · find part g in this mark scheme extract

Question Number	What is meant by the term demand-pull inflation? Answer	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition Inflation caused by too much demand in the economy **(1)** relative to supply **(1)** **OR** Inflation caused by too much demand in the economy **(1)** causing a rise in the general price level **(1)** Accept any other appropriate response	**(2)**

Question Number	Describe **one** advantage of privatisation for a consumer. Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a consumer and 1 mark for development of an advantage for a consumer One advantage is better-quality goods/services **(1).** Private companies often work harder to improve what they offer because they want to attract more consumers **(1)** Accept any other appropriate response	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 17 of 17 · Question 1 part g · 3 marks

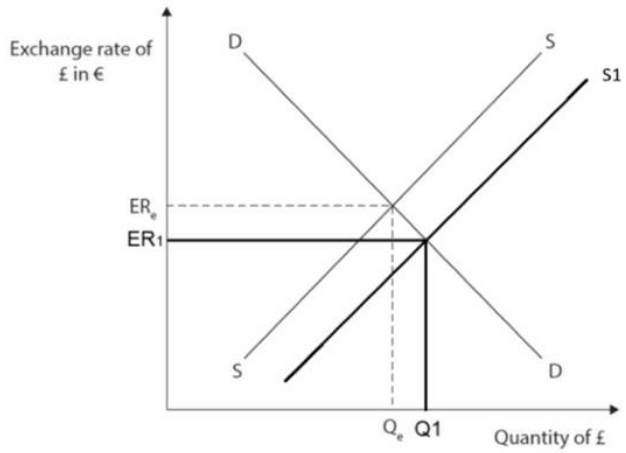
2025 NOV · Paper 02 · extract 3 of 8 · find part g in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation $\frac{550,000}{4,300,000} \times 100$ **(1)** Award 1 mark for the correct answer = 12.79% **(1)** Award 2 marks if the correct answer 12.79% is shown even if no calculations are shown Award 1 mark if the answer given is 12.79 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 17 of 17 · Question 1 part g · 3 marks

2025 NOV · Paper 02 · extract 4 of 8 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of supply curve, labelled Award 1 mark for lower equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 17 of 17 · Question 1 part g · 3 marks

2025 NOV · Paper 02 · extract 5 of 8 · find part g in this mark scheme extract

Question Number	Explain **one** advantage of free trade for a business in a country such as Iceland. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is lower input costs **(1).** Without tariffs or trade barriers, a business can source raw materials/components more cheaply from other countries **(1)** reducing production costs/increasing profitability **(1)** • One advantage is wider markets for a business **(1).** By removing trade barriers, a business can sell their products and services to more consumers **(1)** increasing their sales/potential for growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 17 of 17 · Question 1 part g · 3 marks

2025 NOV · Paper 02 · extract 6 of 8 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages of deregulation for a country such as South Korea. **Indicative content**
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Deregulation encourages an environment where firms can experiment and innovate without being hindered by strict rules • Deregulation can lead to increased economic activity, as industries like AI and biotechnology expand • The creation of a regulation-free zone in South Korea can attract investment from AI and biotechnology firms which can lead to the creation of new jobs and economic expansion • By supporting AI and biotechnology firms, South Korea can diversify its economy and increase employment opportunities across various skill levels • South Korea can benefit from reduced unemployment rates and improved living standards for its citizens • This growth can contribute to a higher GDP, boosting the overall economic performance of South Korea

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 17 of 17 · Question 1 part g · 3 marks

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Free trade: meaning, gains, losses and trade patterns

Answer 17 of 17 · Question 1 part g · 3 marks

2025 NOV · Paper 02 · extract 8 of 8 · find part g in this mark scheme extract

Question Number	Which **one** of the following describes a trade bloc? **Answer**	Mark